



Monetary Policy

Team Teaching Financial Markets and Institutions

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01

Monetary Policy Objectives



Monetary Policy Objectives

Bank Indonesia's mandate centers on achieving rupiah stability, maintaining payment system stability, and preserving financial system stability to support sustainable economic growth. This triple mandate is enshrined in the Bank Indonesia Act, most recently amended by Act Number 4 of 2023.



Understanding Rupiah Stability



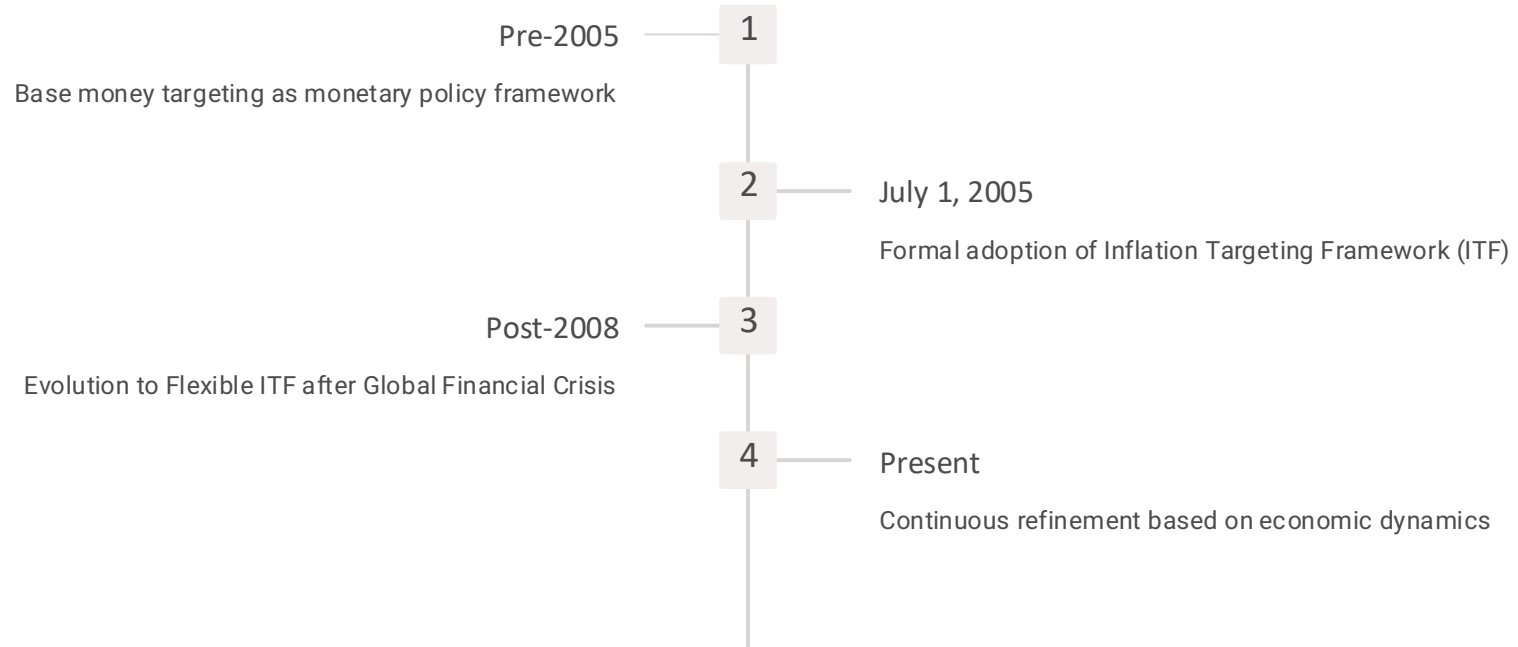
Two Dimensions of Stability

Rupiah stability encompasses two critical dimensions: price stability of goods and services, measured by low and stable inflation, and exchange rate stability against other currencies. Both dimensions work together to create a foundation for sustainable economic growth.

Exchange rate stability is not just a separate goal—it's an integral part of achieving low and stable inflation, creating a reinforcing cycle of economic stability.



The Inflation Targeting Framework



Bank Indonesia adopted ITF as its monetary policy framework on July 1, 2005, marking a fundamental shift in how monetary policy is conducted. This framework makes inflation the overriding objective while using the policy rate as the primary signal.



Lessons from the Global Financial Crisis

The 2008-2009 Global Financial Crisis revealed a critical insight: central banks needed greater flexibility to respond to complex economic developments and the growing influence of the financial sector on macroeconomic stability.

The crisis demonstrated that focusing solely on inflation targeting was insufficient. The massive recovery costs and far-reaching impacts highlighted the need for central banks to actively maintain financial system stability alongside price stability.



Five Core Elements of Flexible ITF

Inflation Targeting

Fundamental strategy of monetary policy

Policy Integration

Monetary and macroprudential policies combined

Exchange Rate Role

Capital flow policies support stability

Coordination

Strengthened cooperation with Government

Communication

Enhanced strategy as policy instrument



Why Flexible ITF?

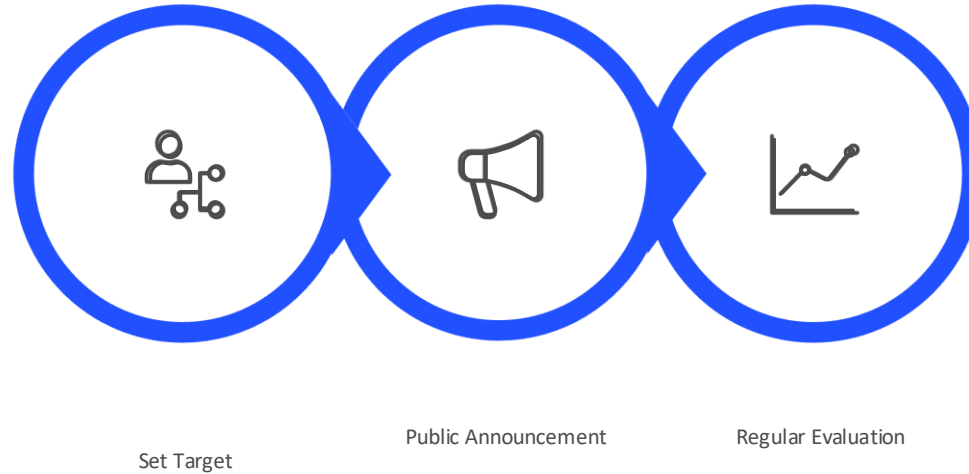
The Challenge

After the Global Financial Crisis, narrow monetary policy mandates proved inadequate to maintain overall economic system stability. The financial system's growing role demanded a broader approach.

The Solution

Flexible ITF strengthens Bank Indonesia's dual mandate: maintaining price stability while preserving financial system stability. This integrated approach combines monetary and macroprudential regulatory frameworks to safeguard both macroeconomic and financial sector stability.

Setting the Inflation Target



The inflation target is set by the Government in coordination with Bank Indonesia for the upcoming three years through a Minister of Finance Regulation. This public announcement represents the central bank's commitment and accountability, forming the foundation of the inflation targeting strategy.

The BI 7-Day Repo Rate

On August 19, 2016, Bank Indonesia introduced the BI 7-Day (Reverse) Repo Rate (BI7DRR) as the policy rate, replacing the previous BI Rate. This reformulation shortened the monetary instrument tenor from 12 months to 7 days, accelerating monetary policy transmission.

The change strengthens the signal of monetary policy direction, enhances transmission effectiveness through its impact on money market and banking interest rates, and accelerates financial market deepening for tenors of 3-12 months.





Four Principles of Monetary Policy Reformulation

Framework Continuity

Reformulation maintains flexible ITF as the monetary policy framework

Stance Preservation

Current monetary policy stance remains unchanged

Transactability

Policy rate reflected in monetary instruments transactable with Bank Indonesia

Operational Target

Determined based on considerations influenced by the policy rate

Policy Coordination with Government

Inflation Control Teams

Bank Indonesia and the Government coordinate through central and regional Inflation Control Teams (TPI) to manage inflation effectively. The Government focuses on supply-side policies: maintaining affordable prices, ensuring uninterrupted supply and distribution, and effective communication.

Financial system stability is reinforced through the Financial System Stability Committee, bringing together Bank Indonesia, Ministry of Finance, OJK, and IDIC.

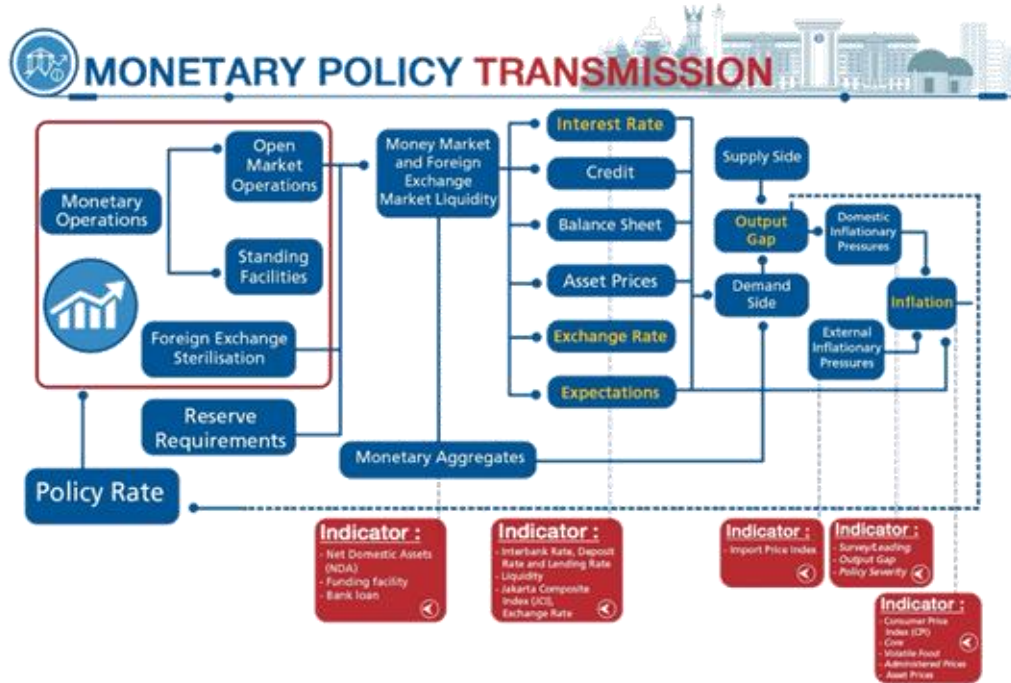




02

Monetary Policy Transmission

Monetary Policy Transmission Mechanism



The process of transmitting the BI7DRR to achieve the inflation target flows through various channels with variable time lags. Each transmission channel operates differently, and effectiveness depends on external conditions, the financial sector, banking industry, and real sector dynamics.

The Interest Rate Channel

Adjustments to the BI7DRR directly influence deposit and lending rates in the banking industry. A tight-bias monetary policy with higher interest rates reduces aggregate demand and alleviates inflationary pressures.

Conversely, reducing the BI7DRR lowers lending rates, increasing corporate and household demand for loans. Lower rates also reduce the cost of capital for investment, stimulating consumption and investment activity throughout the economy.



Exchange Rate and Asset Price Channels

%

Rate Increase

Higher BI7DRR widens interest rate differential

\$

Capital Inflow

Foreign investors seek higher returns in Indonesia

-\$

Rupiah Appreciation

Currency strengthens from capital inflows

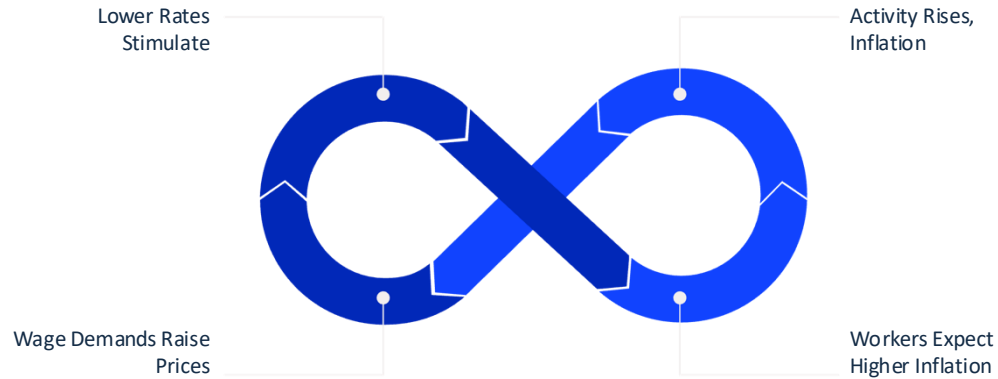
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Inflation Eases

Cheaper imports reduce price pressures

Higher interest rates also lower asset prices like shares and bonds, eroding wealth and reducing consumption and investment capacity, which further moderates aggregate demand and inflationary pressures.

The Expectations Channel



Managing Public Expectations

Changes in interest rates influence economic activity and shape public inflation expectations. When lower rates stimulate the economy and increase inflation, workers anticipate this trend and demand higher wages.

Producers then pass on the cost of higher wages to consumers through price increases, creating a feedback loop that monetary policy must carefully manage.

03

Transparency and Accountability





Transparency and Accountability

Bank Indonesia submits quarterly and annual performance reports to the President and People's Representative Council (DPR), with portions disclosed publicly through mass media. At the beginning of each fiscal year, Bank Indonesia publicly announces policy evaluations and upcoming plans through the mass media.

Bank Indonesia operates as an independent institution, free from government or third-party interference as stipulated in the Bank Indonesia Act. This independence is balanced with robust transparency and accountability requirements.

Monetary Policy Communication



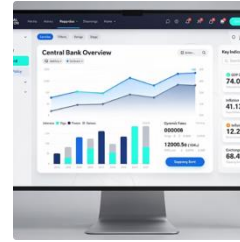
Press Releases

Regular conferences communicating policy decisions



Publications

Economic reports, monetary policy reviews, and analyses



Digital Channels

Bank Indonesia website and online platforms



Media Outreach

Talk shows on radio and television



Stakeholder Engagement

Seminars and discussions with key stakeholders



Regional Dissemination

Local outreach across Indonesian regions

Communication as a Policy Tool



Managing Expectations

Policy communication is not merely about transparency—it's an integral part of the monetary policy toolkit. Central bank communication about current conditions, policies, projections, and future direction influences public expectations and behavior.

Effective communication reduces uncertainty and guides consumption, production, and investment decisions. Research by Warjiyo and Juhro (2016) confirms that communication effectively forms and guides public expectations, providing a powerful tool to impact real economic activity and asset prices.

04

Coordinated Inflation Control





Coordinated Inflation Control

Low and stable inflation requires a policy mix addressing both demand and supply factors. While Bank Indonesia manages demand-side pressures, the Government handles supply-side issues including production, distribution, connectivity, supply chains, and subsidies.



Affordable Prices

Maintaining accessible pricing
for essential goods



Available Supply

Ensuring adequate inventory
and production



Uninterrupted Distribution

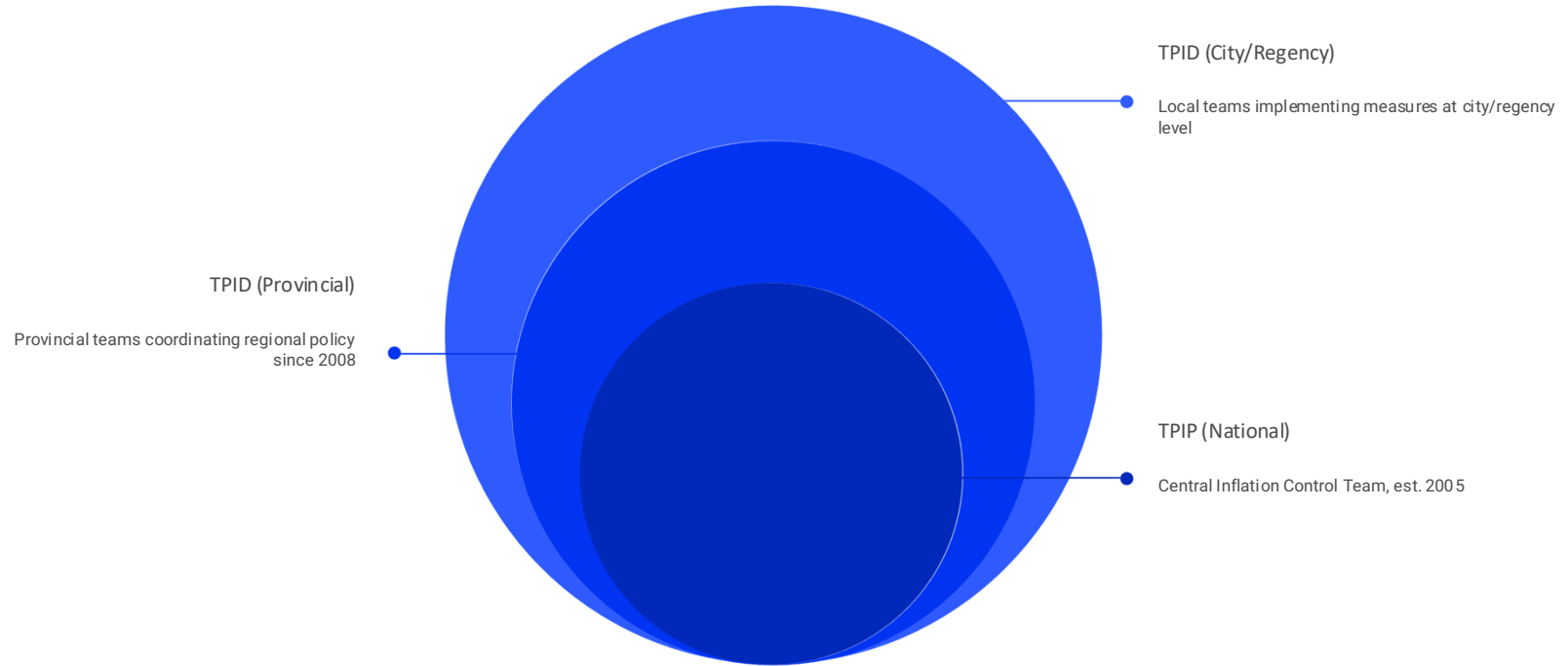
Smooth logistics and supply
chains



Effective Communication

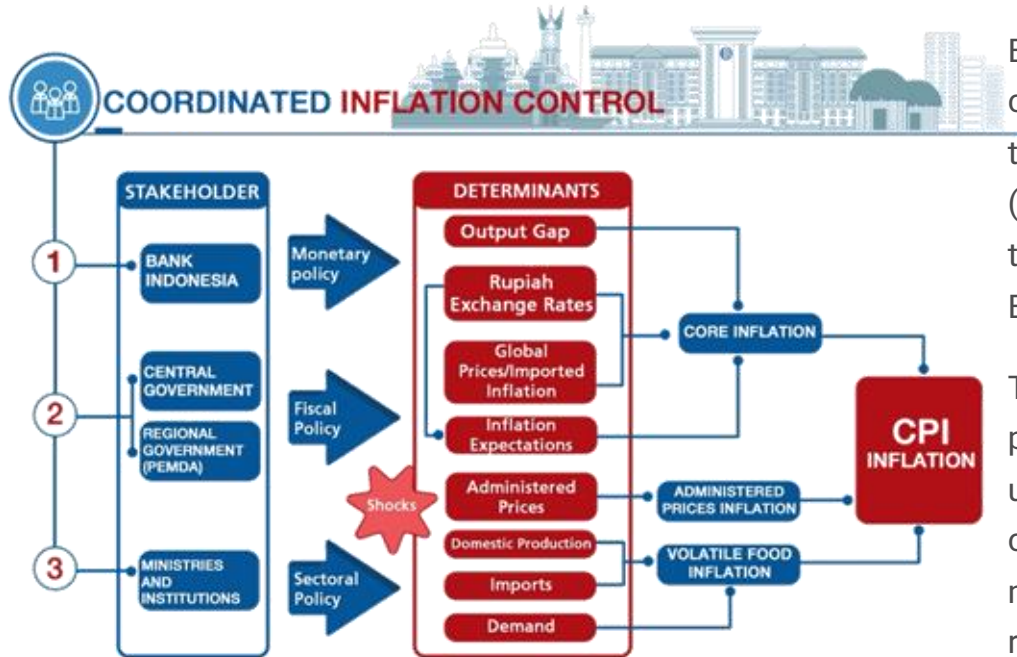
Clear messaging to manage
expectations

Inflation Control Team Structure



Coordinated inflation control was strengthened through Presidential Regulation Number 23 of 2017, establishing the National Inflation Task Force (TPIN). This framework created a comprehensive coordination mechanism through central and regional teams, further reinforced by subsequent ministerial regulations in 2017.

National Movement for Food Inflation Control



Bank Indonesia remains firmly committed to controlling inflation nationally through synergy with the National Movement for Food Inflation Control (GNPIP). This collaborative approach brings together central and local government efforts with Bank Indonesia's monetary policy tools.

The coordinated framework focuses on the 4K principles—affordable prices, available supply, uninterrupted distribution, and effective communication—ensuring comprehensive inflation management that addresses both monetary and real sector factors for sustainable economic stability.



Thank you